

World Economic Outlook 2026

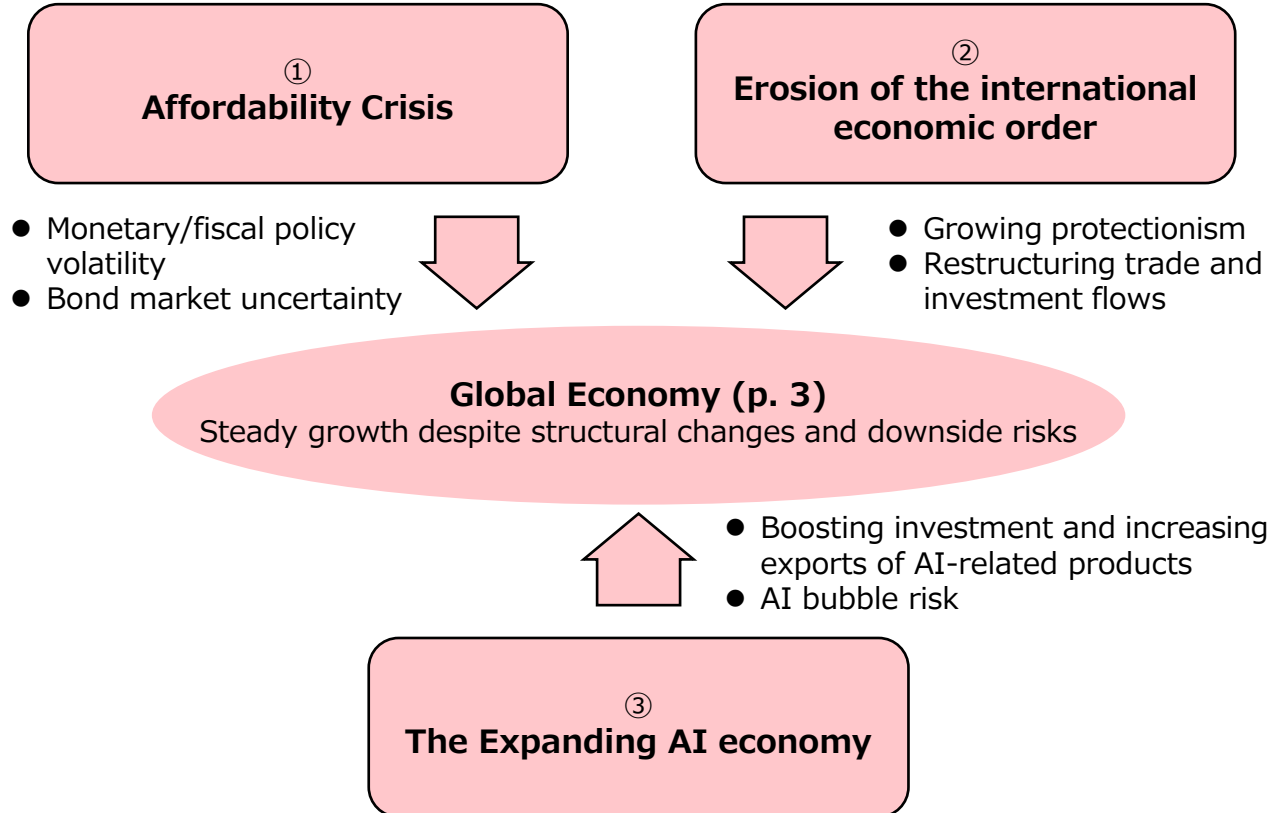
Steady Global Growth Expected Despite Volatile Conditions

January 2026

*Translated from the original Japanese version released on December 18, 2025 (slightly modified)

Affordability crisis, erosion of the international economic order, the expanding AI economy

Three key factors that could impact the global economy in 2026



① Affordability crisis (pp. 4-9)

In the United States, the "affordability crisis," triggered by the rising cost of living, has developed into a top political issue. Changing policy priorities could force policy course corrections, or policies could also drift in the absence of effective solutions. It is important to note that affordability issues could also lead to similar policy course corrections in countries other than the United States.

② Erosion of the international economic order (pp. 10-16)

The erosion of the international economic order, which was already evident, has accelerated in response to the US tariff measures. While the short-term backlash from the 2025 frontloading is occurring, countries and companies are seeking ways to adapt to the new environment. Structural changes in trade and investment flows will encourage survival of the fittest in a new competitive environment.

③ The Expanding AI Economy (pp. 17-20)

Artificial intelligence is already boosting the current economy in the form of large-scale capital investment and growth expectations in the stock market, even without further development. Its impact is wide-ranging, including the construction of data centers, the spread of cross-sectional applications, and its impact on the labor and electricity markets. Meanwhile, the risk of an AI bubble is one of the most important factors that will determine the future ups and downs of the stock market.

Growth rates of major countries and regions

Global economy to grow resilient despite volatile conditions

▽ Real GDP growth forecast (YoY, %)

	world share	2025	2026	2027	Changes from last time (25/8) (%pt)	
	2024 (%)	Prospects	prediction	prediction	2025	2026
World	100	3.2	3.0	3.2	+0.3	+0.2
Developed countries	39.6	1.7	1.6	1.7	+0.3	+0.3
US	14.8	2.0	1.9	2.0	+0.3	+0.4
Euro area	11.5	1.4	1.3	1.4	+0.5	+0.4
UK	2.2	1.4	0.9	1.1	+0.3	▲ 0.2
Japan	3.3	1.1	0.5	0.7	-	▲ 0.1
(Fiscal Year)	-	0.8	0.6	0.7	▲ 0.1	-
Emerging countries	60.4	4.2	4.0	4.1	+0.3	+0.1
China	19.3	4.7	4.2	4.0	+0.2	-
India	8.2	7.4	6.5	6.5	+1.0	+0.5
ASEAN-5	5.1	4.3	4.2	4.3	+0.2	+0.2
Central and Eastern Europe	7.8	1.8	2.2	2.4	-	+0.1
Latin America	7.2	2.4	2.3	2.6	+0.2	+0.1
Middle East and Central Asia	7.4	3.5	3.4	3.8	+0.1	+0.2
Sub-Saharan Africa	3.5	4.1	4.2	4.5	+0.1	+0.3

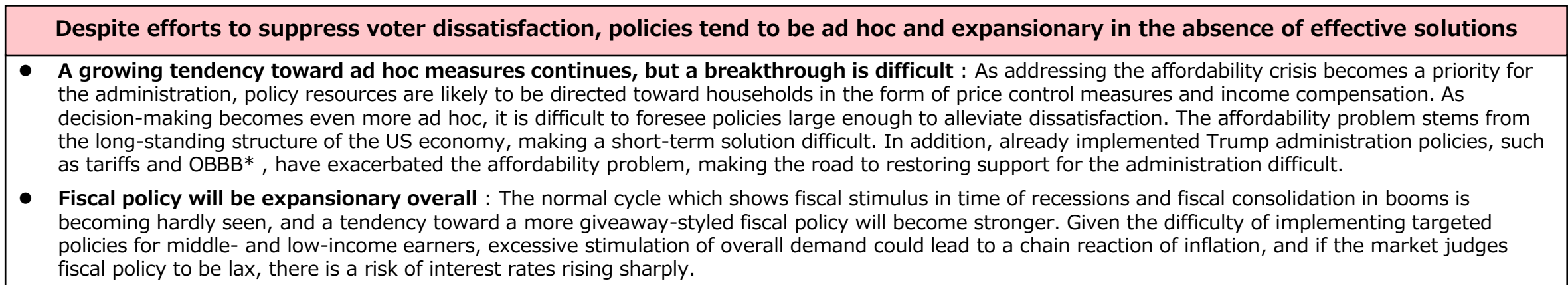
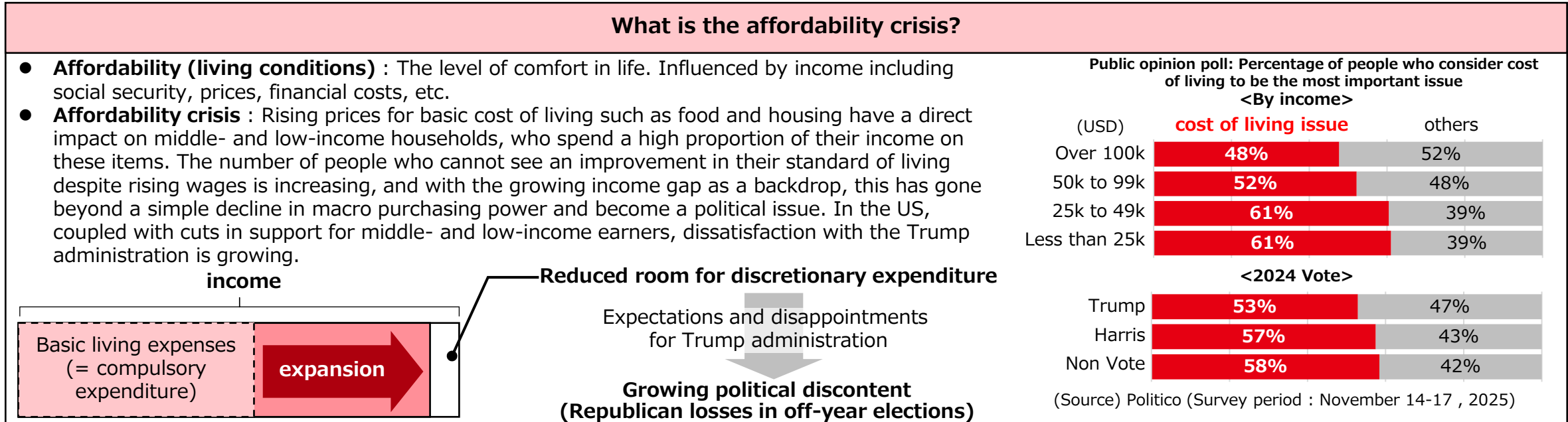
*The composition of each region and group is based on the IMF . World shares are based on purchasing power parity (PPP). ASEAN-5 includes Indonesia, Malaysia, the Philippines, Singapore, and Thailand.
(Source) Marubeni Institute

<Summary>

- The global economy is expected to maintain 3% growth in 2026 , despite the ongoing risk such as the affordability crisis and the erosion of the international economic order.
- One factor supporting the growth of the global economy is the accumulation of agile responses by countries and companies that are fending off headwinds arising from global fluidity:
 - ✓ Many countries are not retaliating against Trump's tariffs, but are instead moving to diversify their trading partners and expand domestic demand.
 - ✓ Many companies are responding flexibly to the worsening business environment and implementing reforms to increase profits.
 - ✓ The disruption will prompt supply chain restructuring and lead to increased inventory.
 - ✓ Europe has eased fiscal discipline and shifted to a significant increase in defense spending.
 - ✓ In India and ASEAN, consumer markets and infrastructure investment are expanding steadily, contributing more to global economic growth than the total of developed countries.
 - ✓ Global inflation and the excess money are pushing up stock prices.
 - ✓ AI-related investment is expanding rapidly in the U.S. The economic effects of AI-related trade such as semiconductors will be spreading to countries like ASEAN as well
- (1) the worsening affordability crisis which can lead to indecisive monetary and fiscal policies, (2) trade and investment disruptions due to the further expansion of protectionism, and (3) uncertainty surrounding AI investment can hinder the global economy's growth.

What is the affordability crisis?

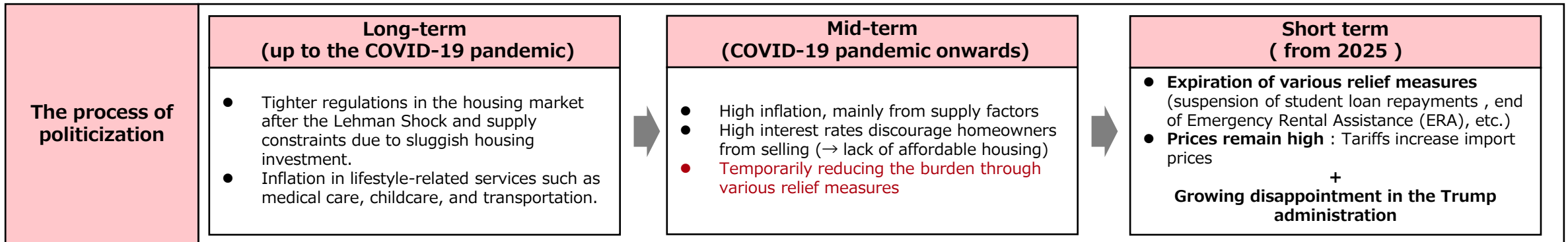
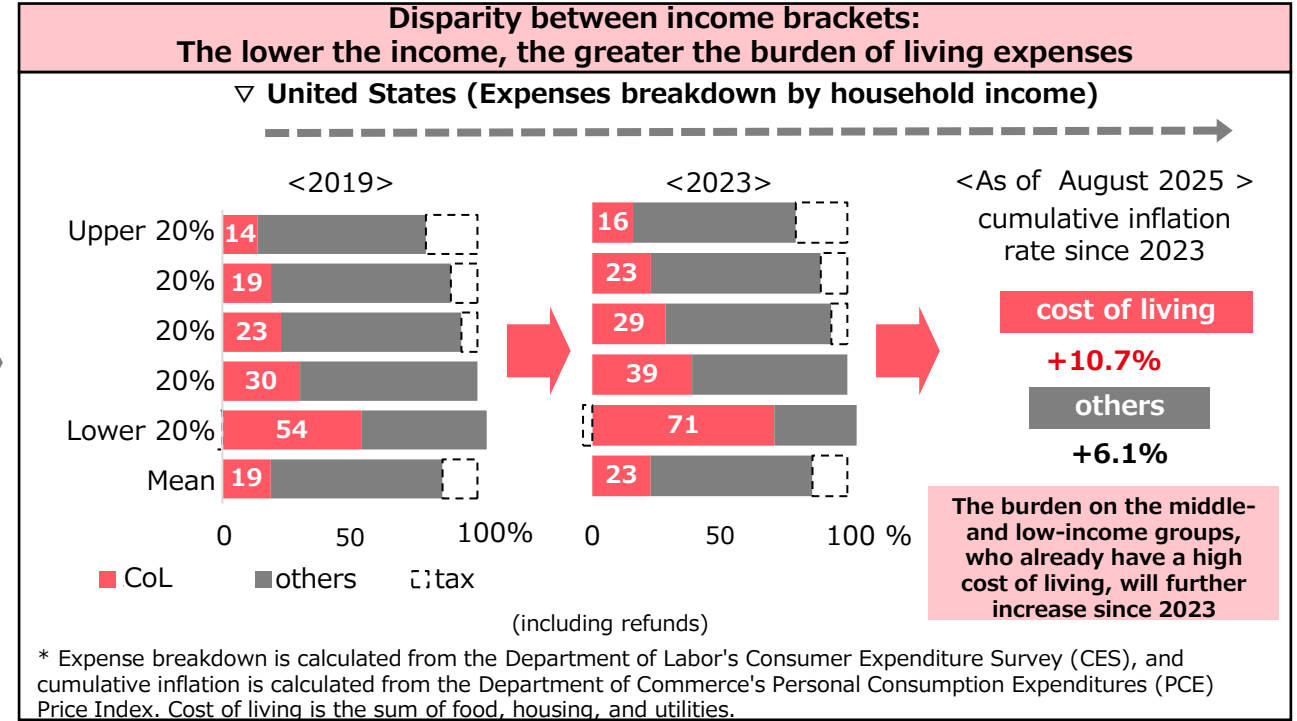
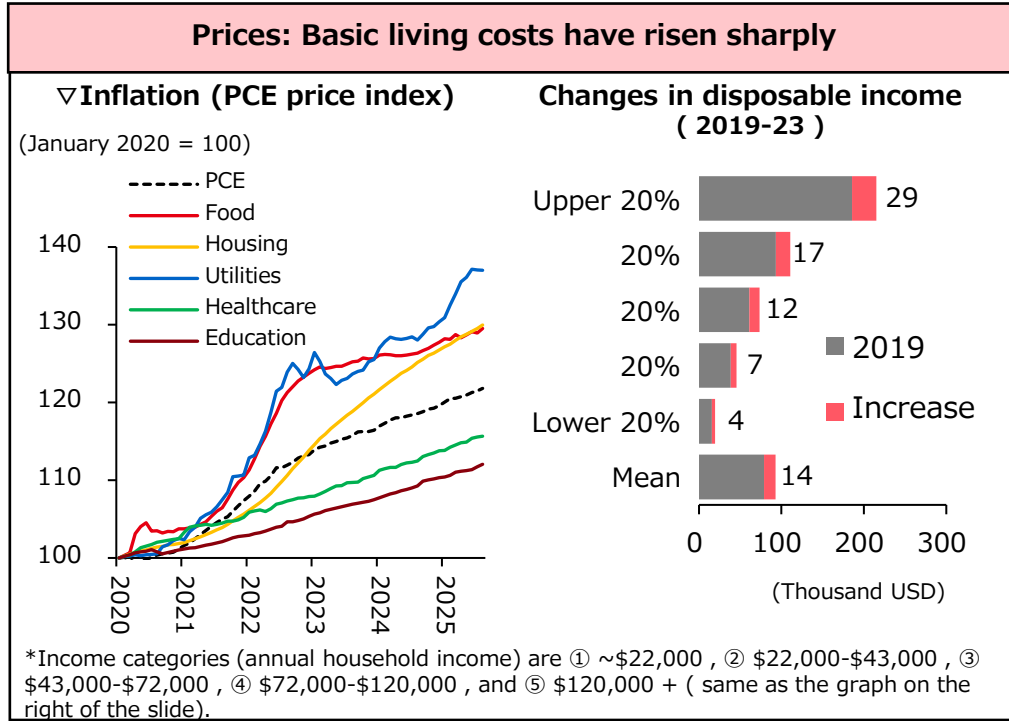
As this becomes a political issue, it can lead to policy corrections and confusion.



*OBBB (One Big Beautiful Bill) : A comprehensive fiscal and budget reform law enacted in July 2025 .

Politicization of the affordability crisis

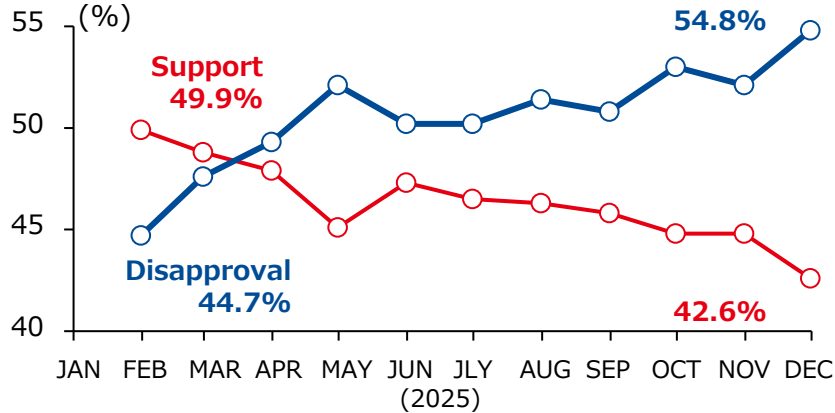
Lower-income households have particularly suffered from post-pandemic inflation



The affordability crisis and the Trump administration

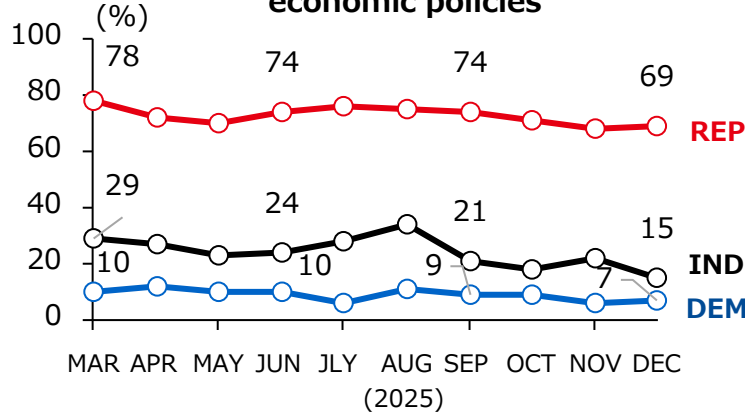
Existing policies have only exacerbated the affordability crisis. Even attempts to correct course are lacking.

▽ President Trump's approval rating



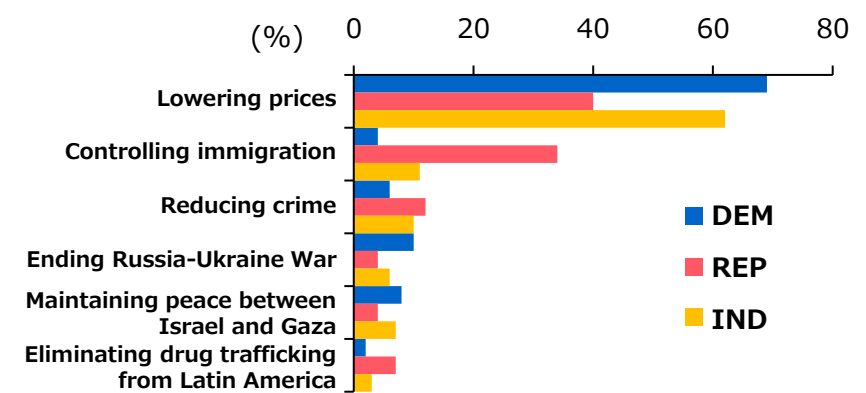
(Source) RealClearPolitics

Approval rating for the Trump administration's economic policies



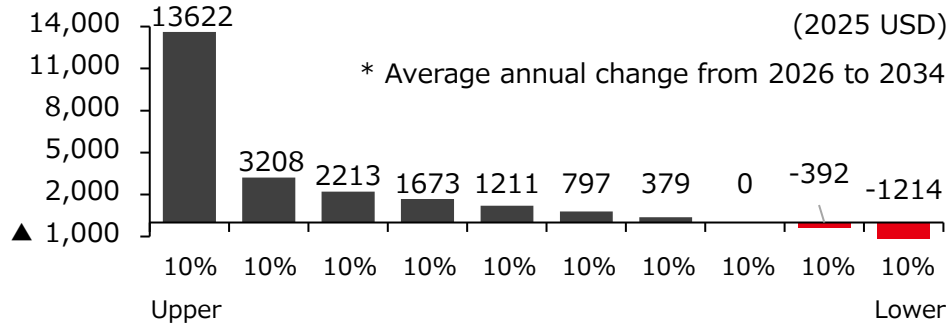
(Source) Associated Press, University of Chicago

Important policy themes



(Source) NPR (survey period: Nov.10-13, 2025)

▽OB BB* impact

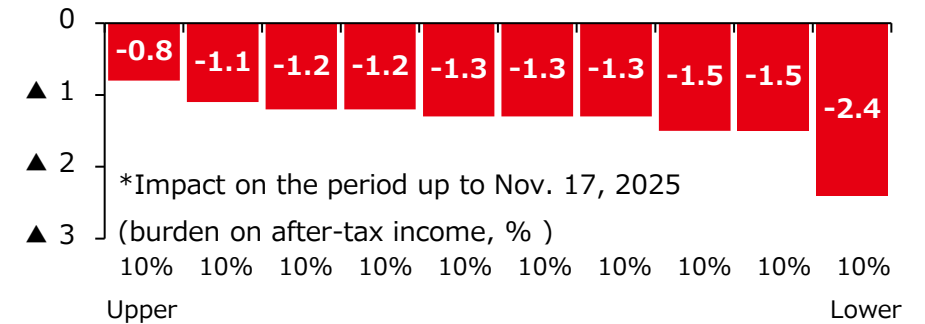


* Average annual change from 2026 to 2034

*OB BB: One Big Beautiful Bill Act
(Source) Congress Budget Office

Existing policies are worsening the affordability crisis

▽ 2025 Tariff Measures' impact



*Impact on the period up to Nov. 17, 2025

(burden on after-tax income, %)

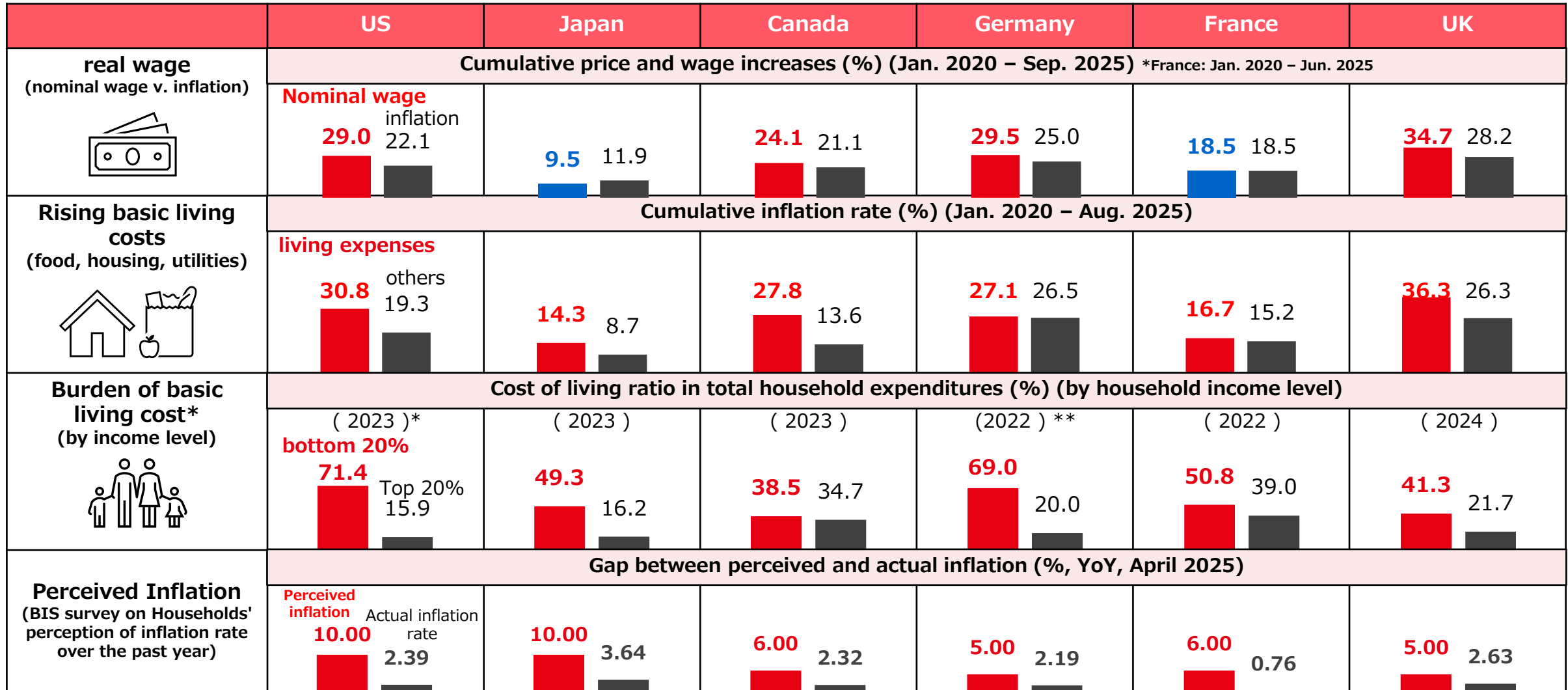
(Source) Yale University, the budget lab

<Trump Administration Response>

- November 2026 midterm elections approaching, an urgent issue is how to retain supporters who are leaving due to the affordability crisis.
- Although measures such as excluding agricultural products from tariffs (November 2025) and a "dividend" scheme funded by tariff revenue have been planned, the situation is such that no effective solutions are available.

The affordability crisis may not be a US-only problem

Rising living costs are exacerbating the burden on low-income families outside the U.S.



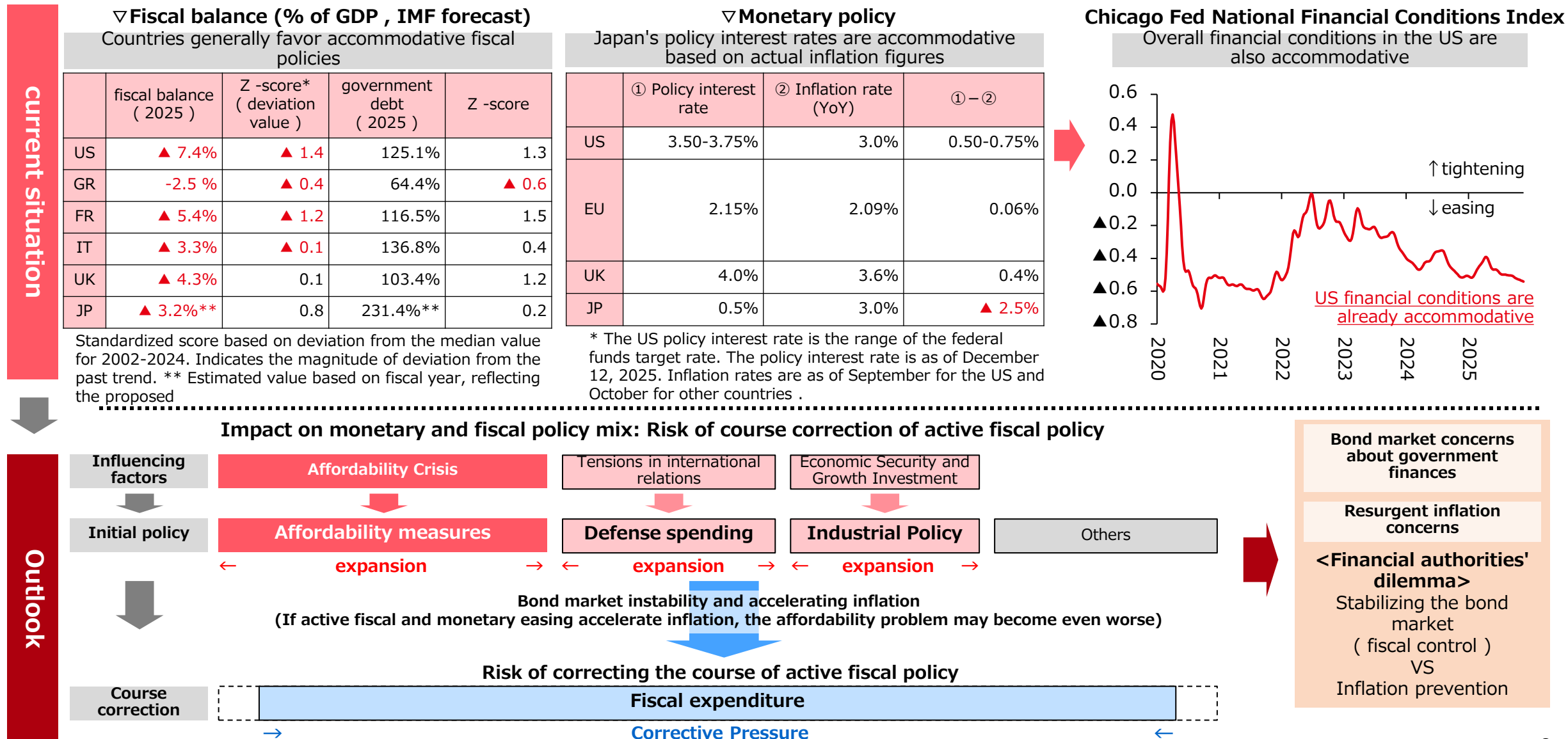
*Basic living costs include food, housing, and utilities. US data refers to PCE price index, while other countries to CPI.

** The figures for the US and Germany are for living expenses as a percentage of income. For Germany, the comparison is between households with a monthly income of 1,250 euros or less and 5,000 euros or more.

(Source) National statistical bureaus, BIS, etc.

How the affordability crisis affects the course of fiscal/monetary policies

Fiscal expansion in response to the affordability crisis could lead to a financial repression

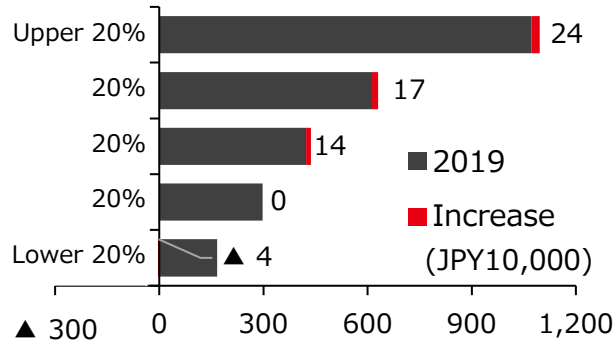


Japan's Affordability Issues: Economic and Fiscal Management

Excessive fiscal policy may lead to a weaker yen, inflation, and rising interest rates

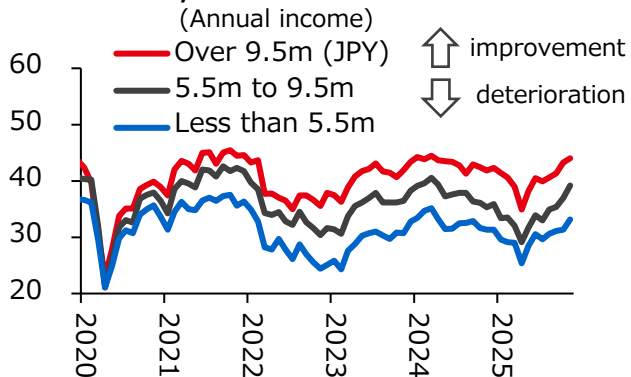
Affordability

Annual income (2019-2024)



(Source) Compiled by Marubeni Research Institute based on data from the Ministry of Internal Affairs and Communications

Living conditions: The lower the income, the worse the situation



(Note) Households with two or more people. The seven annual income categories in the original data were calculated into the three categories

(Source) Created by Marubeni Research Institute based on data from the Cabinet Office

Economic and Fiscal Management of the Takaichi Administration

Crisis management
investment/growth investment

Industrial Policy

- Shifting to a high-value-added economy
- The dilemma that the economic and security sector is not necessarily a growth sector

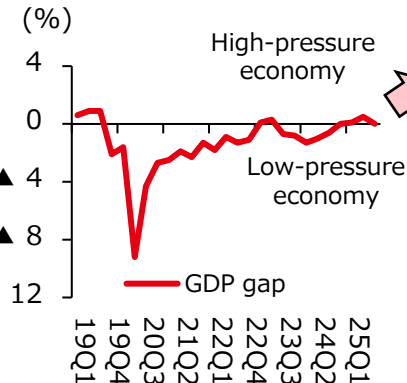
Countermeasures against high prices
(Affordability measures)

- Reduced energy costs
- Improving the environment for wage increases in small and medium-sized enterprises etc.

defense spending

Tensions in international relations

The government's envisioned economic growth course



- Through proactive fiscal management, we will create expectations of expanding domestic demand and stimulate investment demand from companies. This will create a high-pressure economy that keeps the economy slightly overheated, and encourage companies to invest in excess.
- As investment eventually becomes a supply source, inflationary pressure will decrease and the potential growth rate of the economy will increase.

Weak yen
pressure

Inflationary
pressures

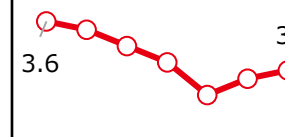
rising interest rates
pressure

Nominal Effective
Exchange Rate
(20 years = 100)

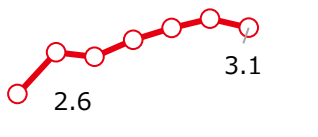


Weaker
JPY

Inflation rate
(overall)
(YoY, %)



30- year bond yield
(%)



Due to the long-term period of deflation and sluggish income growth, Japanese households tend to have a relatively low tolerance for inflation. There is a risk that the vulnerabilities of households and the bond market, which have been suppressed under deflation and low interest rates, will become apparent under a high-pressure economy.

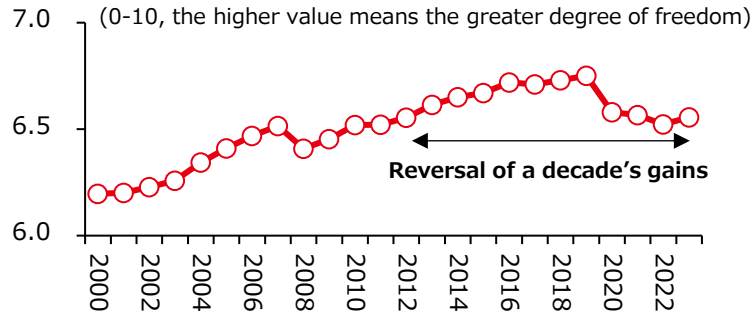
(Source) Compiled by Marubeni Research Institute based on BIS, Ministry of Internal Affairs and Communications, and LSEG

Erosion of the international economic order

Structural changes in trade and investment flows are going on despite remaining uncertainty

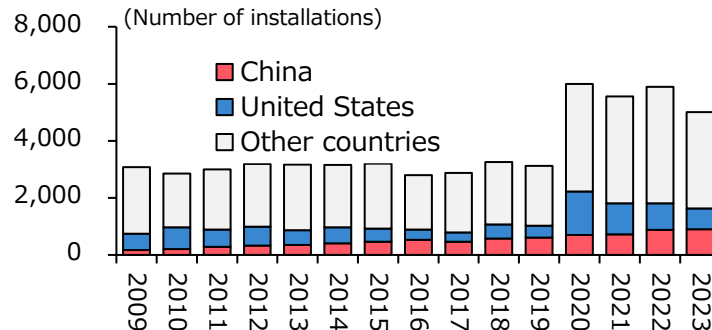
Erosion of the international economic order

Index of Economic Freedom of the World (EFW)



Evaluation is based on five areas : 1) size of government, 2) legal system and property rights, 3) sound currency, 4) freedom of international trade, and 5) regulations. The figures shown are the average values for 165 countries and regions.

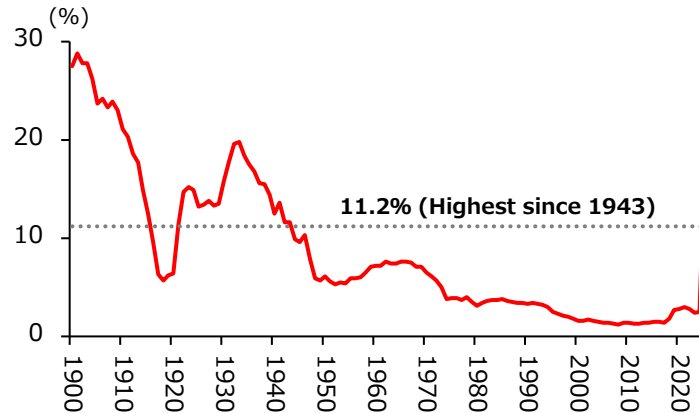
Trade and investment intervention measures



*This is a compilation of trade and investment intervention measures that the source judges to be harmful, including tariffs, import quotas, export subsidies, and restrictions on government procurement.

The US tariff wall has definitely increased

US average effective tariff rate



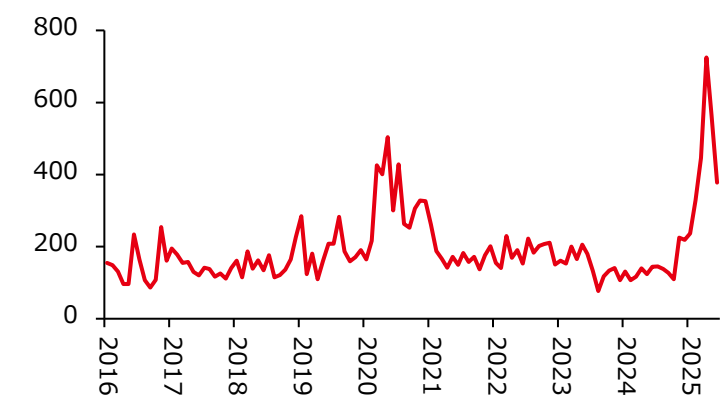
*Tax Foundation estimates

Tariff measures and legal basis

Reciprocal tariffs	International Emergency Economic Powers Act (IEEPA) Illegal/invalid judgment (Appeal pending)
Fentanyl tariffs (Canada, Mexico, China)	
Tariffs on India and Brazil	
Item-specific tariffs (steel, aluminum, copper, etc.)	Trade Expansion Act Article 232
List tariffs (China)	Trade Act of 1974 Article 301

Structural changes in trade and investment under uncertainty

Economic Policy Uncertainty Index (US)



- US tariff measures and investment deals in the US
- China's overproduction and export offensive
- Trade and supply chain diversification strategy
- Expanding investment in key technologies and strategic fields
- AI-related investment and trade demand

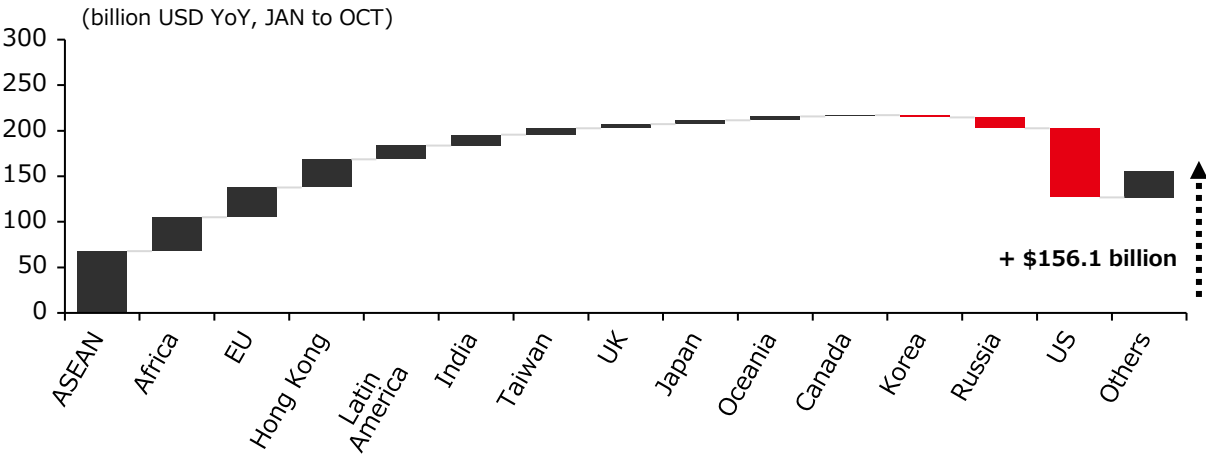
Structural changes in international trade and investment flows

Trade flows

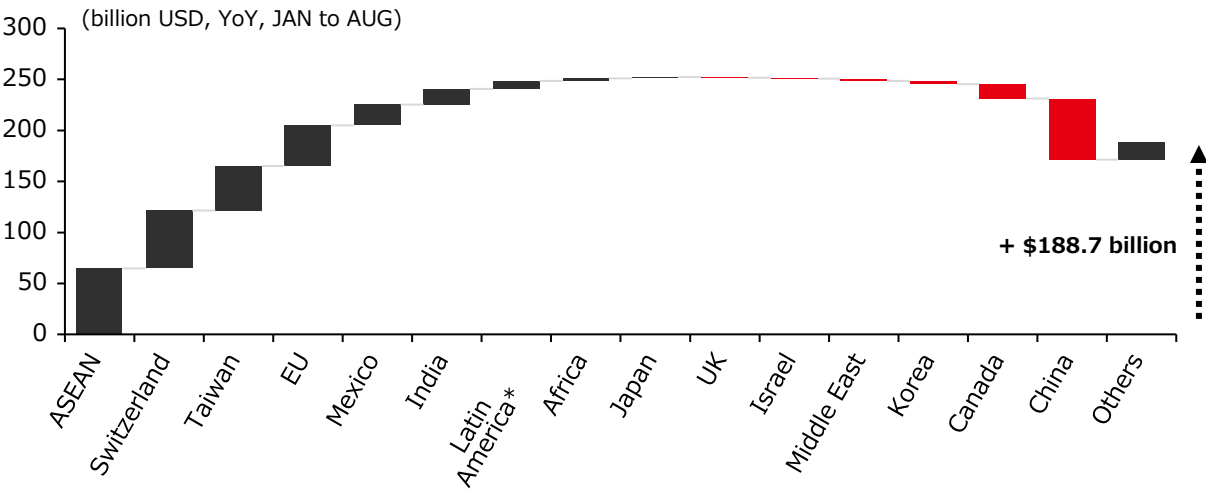
Structural changes in trade flows are underway behind the short-term backlash to frontloading

2025 : Frontloading before tariffs has disrupted trade flows

▽China's exports (2025)



▽US imports (2025)



* Excluding Mexico
(Source) ITC

2026 : Rebound from frontloading and structural changes

(US) Estimated frontloading effect by product type (quantity basis)

2024/11 ~2025/8	total	food	Raw materials and intermediate goods	capital goods	car	consumer goods	others
Import share	100%	6%	17%	33%	13%	27%	4%
Deviation from the trend line	+11.9%	+7.2%	+20.6%	+16.7%	▲ 17.5%	+23.3%	+4.4%

* Trend lines were estimated for each product type for the period from January 2022 to June 2024 based on seasonally adjusted real import data . Deviations (%) from the trend line were calculated for the period from November 2024 to August 2025 , when a rush of imports is believed to have occurred .

Imports of various goods are expected to experience a short-term decline as a reaction to frontloading before the tariff implementation

Exceptions: [Automobiles] Frontloadings are limited due to differences in tariff measures and USMCA exemptions (in fact, overall imports are declining) , **[Capital goods]** There is a general upward trend due to imports of AI-related products

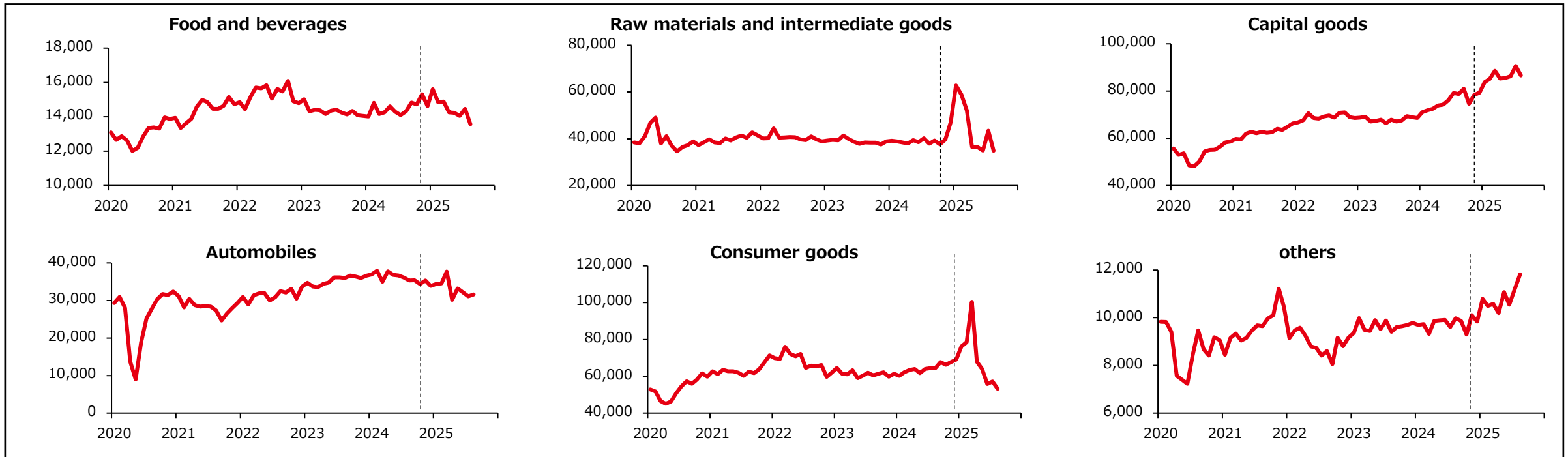
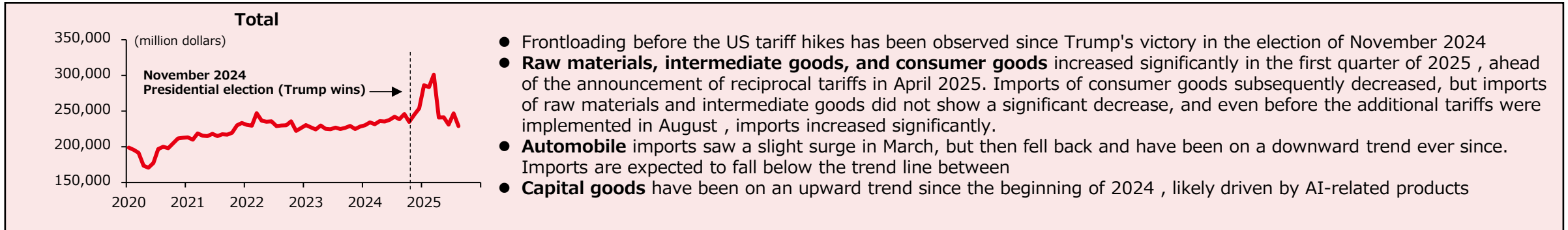
▽Structural changes (medium to long term)

US	● Maintenance and manipulation of tariff measures ● Strengthening regulations on circumvention exports	● Establishment of tariff measures/adjustment in response to political and economic conditions ● Restrictions on imports of "Chinese products" via detours
China	● Expanding exports outside US ● Relocation of production bases overseas	● Diversifying export destinations in response to US tariff hikes ● Relocation of production bases to ASEAN countries
others	● Diversification of export and import destinations ● "Fishing in troubled waters"	● Expanding exports to countries other than the US and accelerating FTA/EPA negotiations ● Increasing opportunities as a detour export base to the US / Some countries with relatively low tariff has competitiveness in the US market.

Frontloading trends in the US by product

Noticeable rush to import raw materials, intermediate goods, and consumer goods.

▽ US real imports (seasonally adjusted, 2017 base, million dollars)



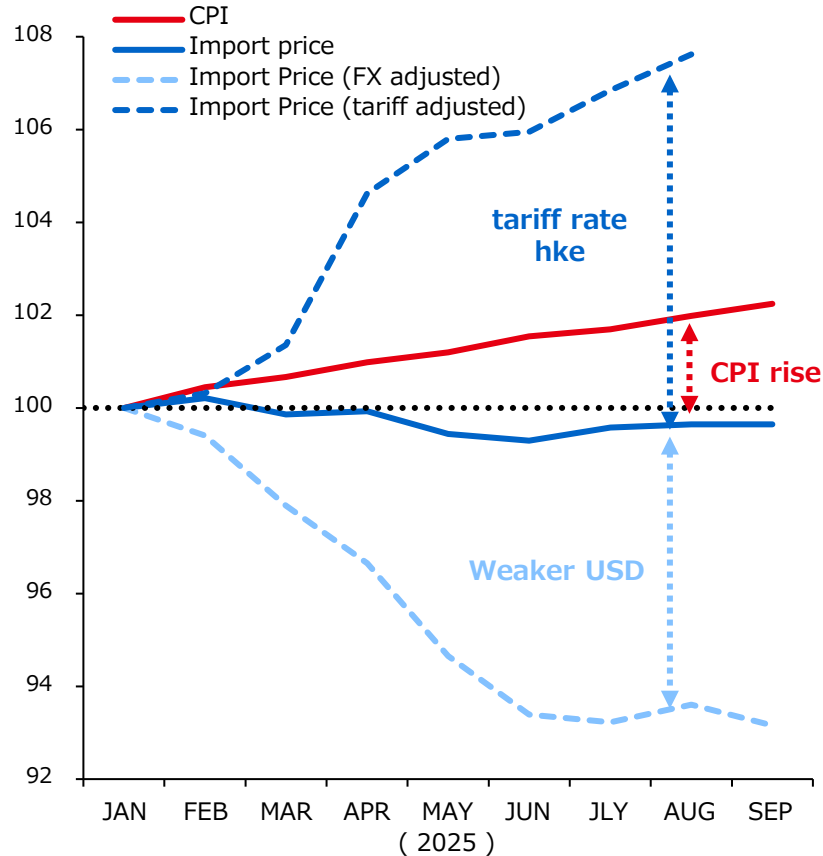
US tariff measures and pass-through effects

Inflationary pressures are already being felt in some individual goods such as beef and coffee.

▽ Import Price Index (US)

The impact of exchange rate fluctuations and tariff hikes are limited so far

(January 2025 = 100)

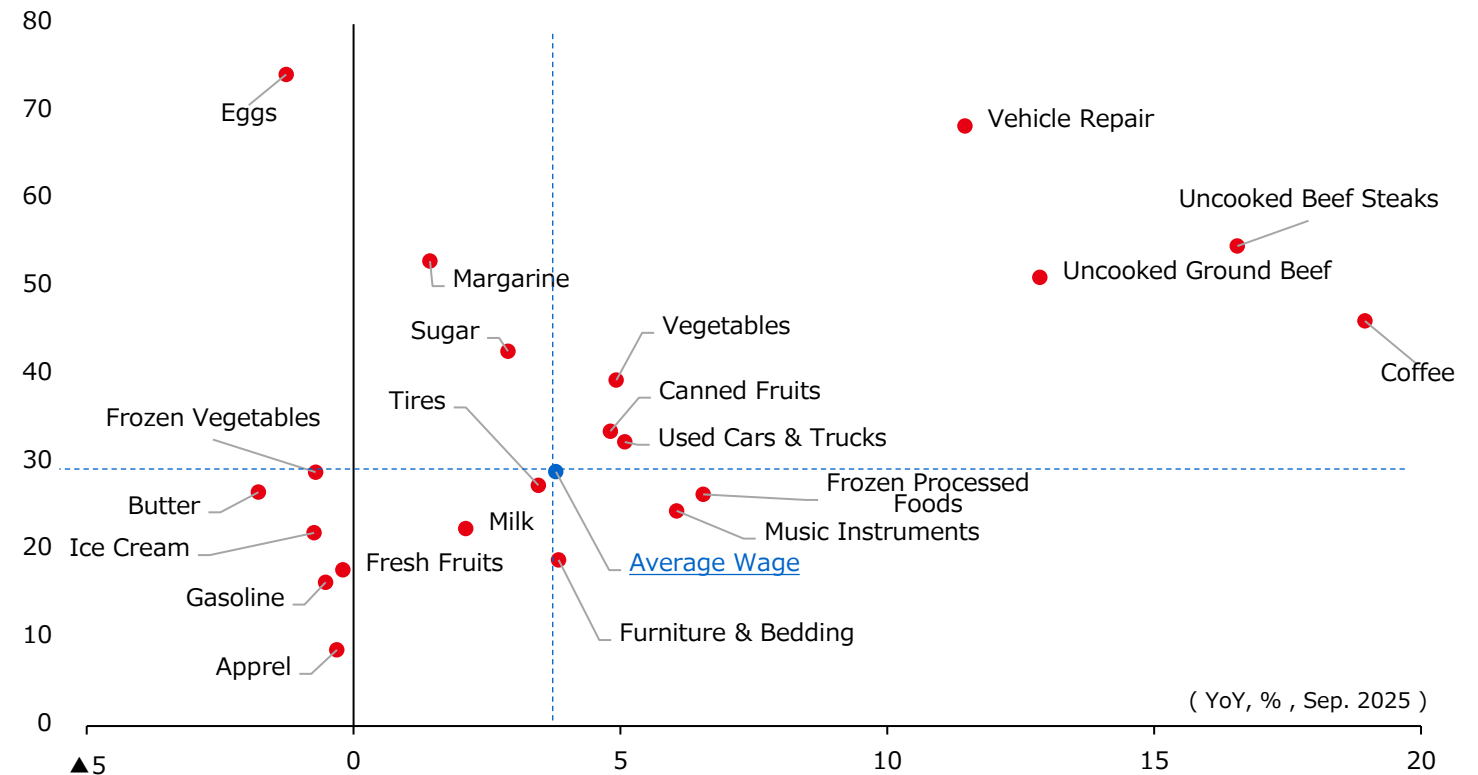


* Import prices/nominal effective exchange rate. US import prices converted into the currency of the exporting country.
(Source) Compiled by Marubeni Research Institute based on the U.S. Department of Labor and PPIE

▽ Consumer Price Index (CPI , by item)

Prices of beef and coffee are rising at a rate that far exceeds wage growth . There is also upward pressure on used cars and furniture.

(Cumulative Inflation, %, Jan. 2020 to Sep. 2025)



Import prices (year-on-year, %, September 2025 / cumulative increase, %, 2020) : Coffee beans (+32.2% / +137.7%), agricultural machinery and materials (+26.2% / +102.7%), copper (+18.6% / +70.3%), fertilizer (+15.7% / +85.0%), bakery goods (+5.4% / +40.4%), durable goods (+5.3% / +42.2%), petroleum (+4.3% / +37.1%), furniture (+2.3% / +12.0%)
Items exempt from "reciprocal tariffs" (as of November 14, 2025) : Fertilizer, beef, bananas, oranges, tomatoes, cocoa, spices, tropical fruits and fruit juices, coffee, tea, seeds and oils.

Investment Flow

Restructuring supply chain investments are progressing in response to changes in the international situation

~ 2025 : Changes in investment strategies and the international environment

Investment environment and trends

China Plus One strategy (China risk), strengthening US inward investment regulations, COVID-19 pandemic (strengthening just-in-case), Russia-Ukraine war (European risk), return of strategic sectors (semiconductors, etc.) to domestic markets, decarbonization-related investments, and Middle East strategies to move away from oil-dependent economies



Direct investment: Rise in emerging countries such as ASEAN

(net inflow, \$billion)

(year)	00-04	05-09	10-14	15-19	20-24	Recent increase/decrease
Europe *	1,559	2,811	1,883	2,145	1,240	▲ 904
US	737	1,008	1,030	1,669	1,308	▲ 361
Japan	38	55	13	55	114	+59
Africa	81	232	259	237	330	+93
China	254	431	612	685	799	+114
ASEAN	129	277	562	688	980	+292
South Asia	41	176	189	268	246	▲ 22
Middle East	59	251	202	194	330	+136
Latin America	323	493	915	760	784	+23
others	748	1,123	1,866	2,284	767	▲ 1,517
world	3,969	6,857	7,530	8,985	6,898	▲ 2,087

* Excludes Luxembourg, the Netherlands and Ireland, which were identified as having large "conduit financial flows" in the UNCTAD report.

* Highlighted figures are maximum values. Recent increases/decreases are a comparison of 2020-24 and 2015-19.

(Source) UNCTAD

2026: Uncertainty weighs on investment in the US, but opportunities expand in specific fields

Key points that will influence investment flows

Policy uncertainty centered on the United States

- The continued high level of policy uncertainty under the Trump administration will have a particularly chilling effect
- Higher production costs due to higher tariffs will weigh on manufacturing and other industries

Relocation and expansion of production bases in response to changes in the trade environment

- Further expansion of production bases into regions such as ASEAN and India
- Political instability as well as institutional and infrastructure issues will continue to be a burden on the entry of new companies in particular.

The rise of industrial policy

- Investment support for key technologies and strategic sectors
- The risk of "government failure" regarding the selection of investment destinations remains.

AI- related investments

- Robust AI- related investment is centered on the US, data center construction is expanding outside the US as well. The trend toward data localization is also providing support.
- Uncertainty continues over the return and sustainability of AI investments

Trump deals

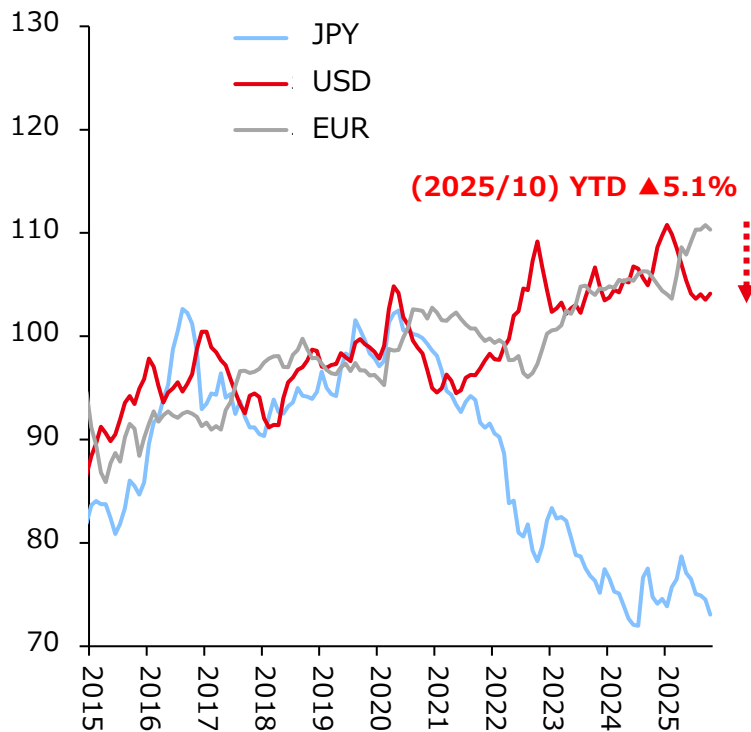
- Although investment commitments such as \$550 billion by Japan, remain uncertain in terms of their implementation plans, this will be one factor affecting investments in the United States by the deal-making countries.

Declining confidence in the US dollar

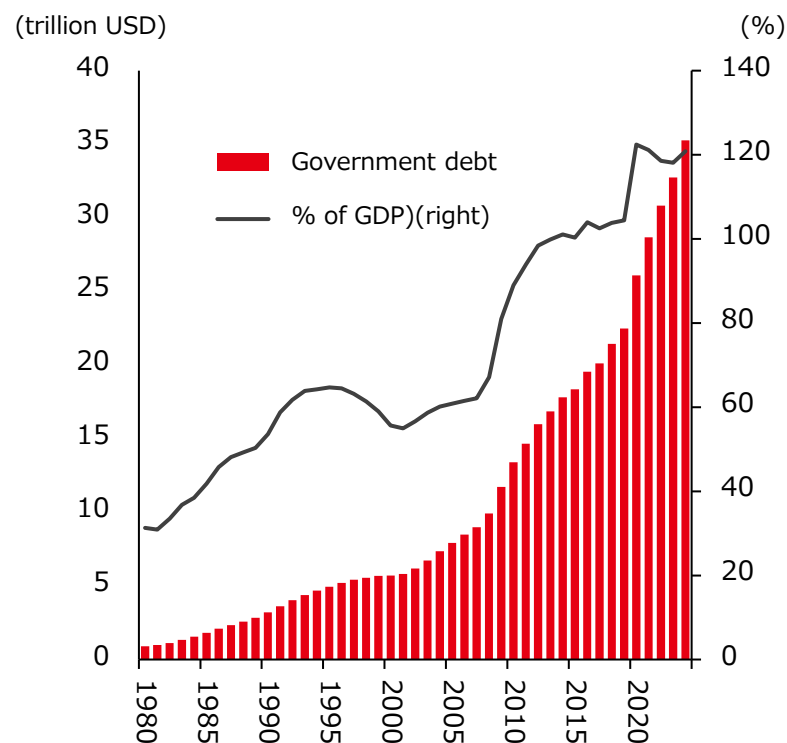
Concerns about the dollar as the world's reserve currency are growing, while no alternative currency is in sight

- **The dollar continues to depreciate under the Trump administration** : The nominal effective exchange rate, which indicates the overall strength of a currency against trading partners, will decline through 2025. While the dollar remains in a strong range, with U.S. government debt remaining at a historically high level of over 120 % of GDP , coupled with high policy uncertainty under the Trump administration, distrust of the U.S. dollar is growing. On the other hand, with no alternative currencies in sight, demand for the dollar is likely to remain solid.
- **Gold prices surge** : While the dollar continues to depreciate, the price of gold as a safe asset has risen significantly. This is thought to be due to concerns about the dollar and inflation risks, and there is a growing trend among not only private investors but also central banks around the world to increase their gold holdings as a reserve asset. According to the World Gold Council, which conducts anonymous surveys of central banks around the world in 2025, 76% of those surveyed (69% in 2024) said that the proportion of gold in reserve assets will increase in five years.

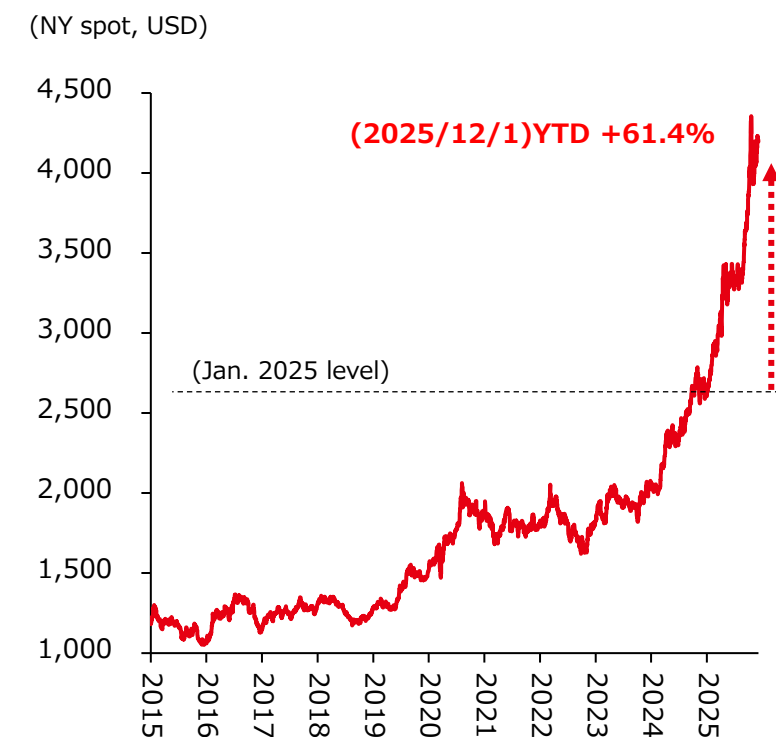
▽Nominal effective exchange rate



▽Trends in US government debt



Gold price

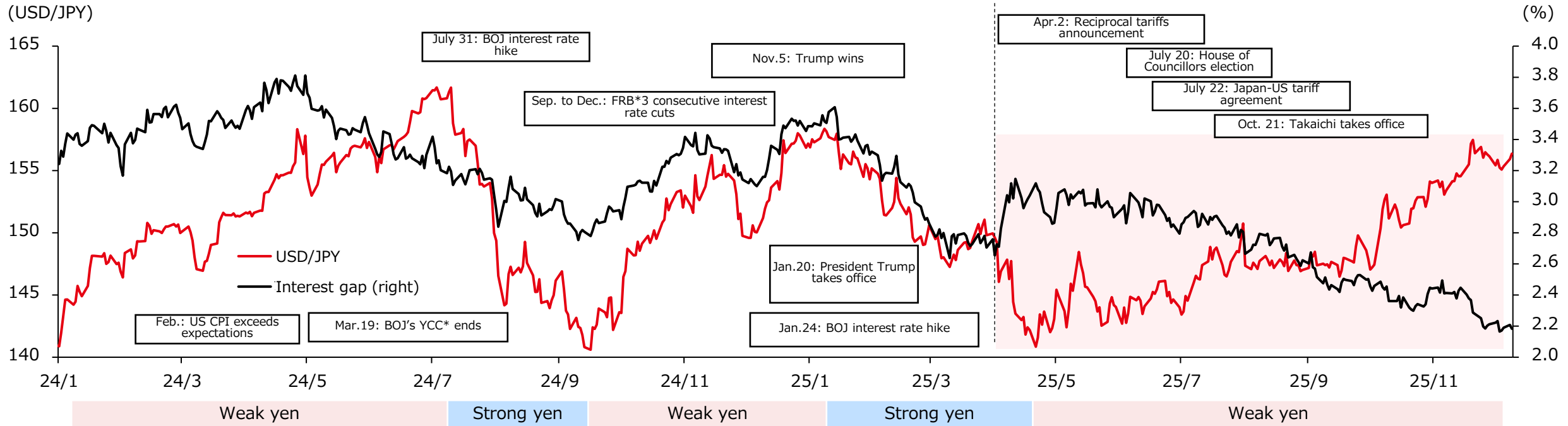


(Source) BIS , US Treasury Department, LSEG , World Gold Council (WGC)

Exchange rate (USD/JPY)

JPY continues to depreciate despite narrowing gap between US and Japanese interest rates

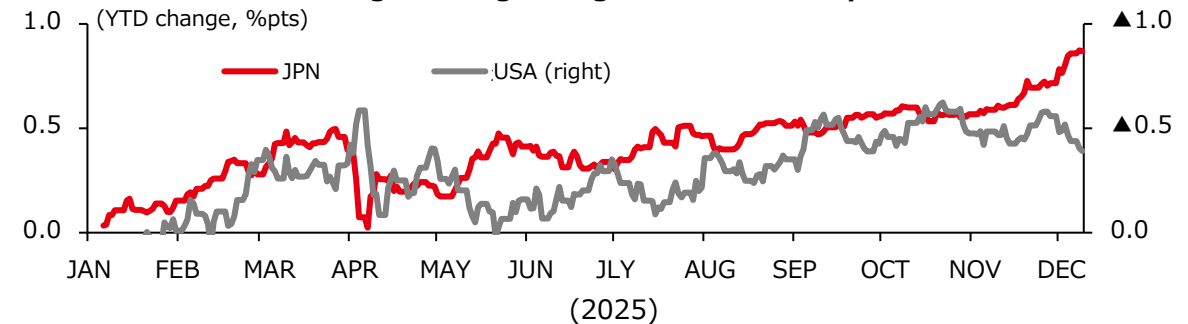
▽ USD/JPY exchange rate and US/Japan interest rate differential (10Y-bond yield): The gap between the US/Japan interest rate differential is widening



*YCC (Yield Curve Control), FRB (Federal Reserve Board)

- Under the second Trump administration, the nominal effective exchange rate of the US dollar continues to decline, but the Japanese yen continues to depreciate even more, so the trend of a weak yen against the dollar continues.
- The Bank of Japan is raising interest rates while the Federal Reserve is lowering interest rates, Japan's interest rates are particularly susceptible to upward pressure amid growing concerns about Japan's fiscal situation. As upward pressure on interest rates continues due to fiscal concerns, the situation in which the dollar/yen exchange rate does not follow the interest rate differential is expected to continue for the time being.

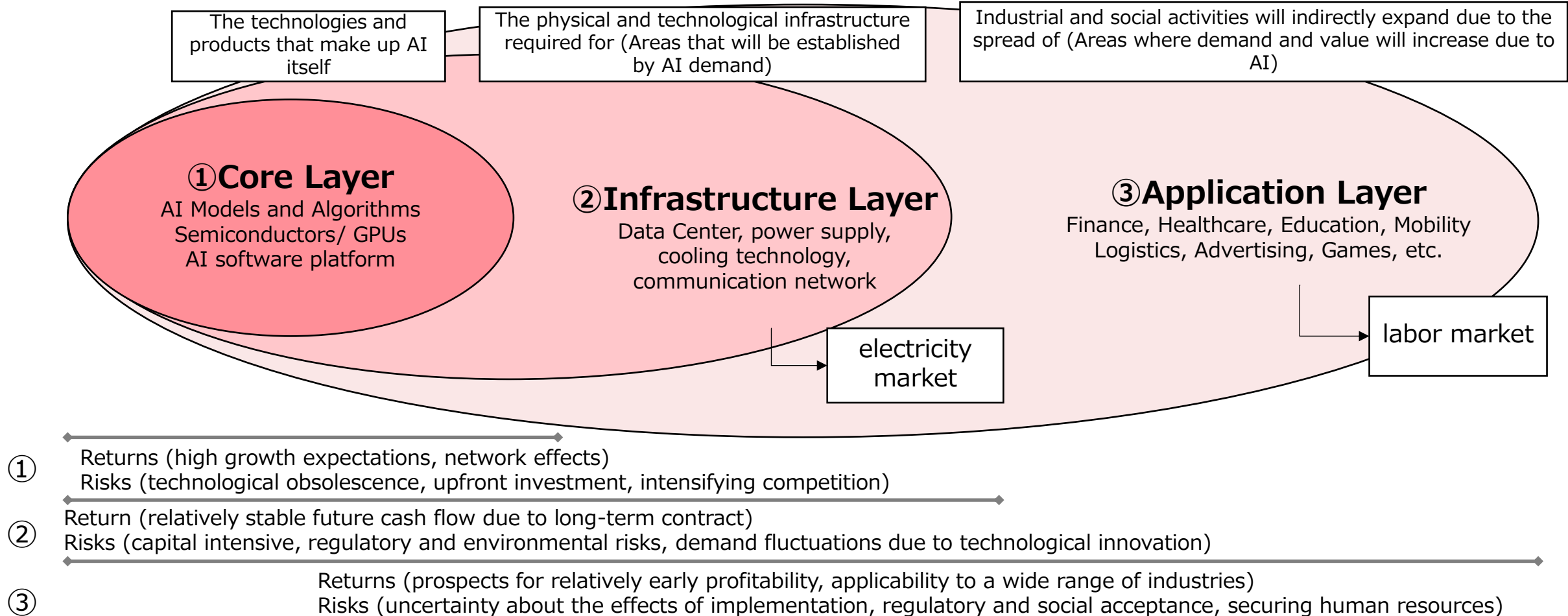
▽ Japan-US interest rates (10 -year bonds): Interest rates in Japan in particular are rising due to growing fiscal uncertainty



The expanding AI economy

AI economy continues to expand based on the three layers

▽The "AI economy" layer



The size of the AI market * is expected to grow from \$ 0.2 trillion (2023) to \$ 4.8 trillion (2033), equivalent to Germany's current GDP (UNCTAD)

*Total sales of AI-related software, SaaS, cloud AI, automation services, etc. (Infrastructure division not included)

(Source) UNCTAD

AI investment

AI fundraising and monetization become even more delicate

Current situation: AI- related investments are supporting the US economy

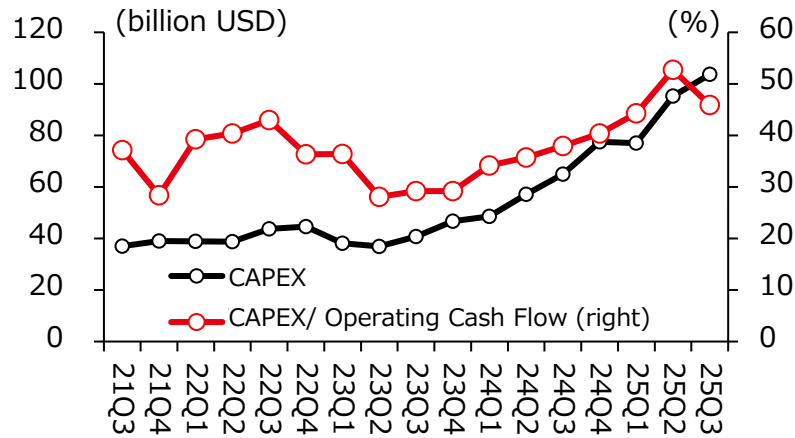
- Led by major tech companies, the expansion of capital investment, particularly in AI- related fields, is supporting the US economy.
- Investments in related infrastructure such as semiconductors, servers, network devices as well as data centers, power plants and transmission networks will proceed in stages.

US GDP Growth (25H1)

Contribution of CAPEX
(Information processing
equipment, software, R&D)

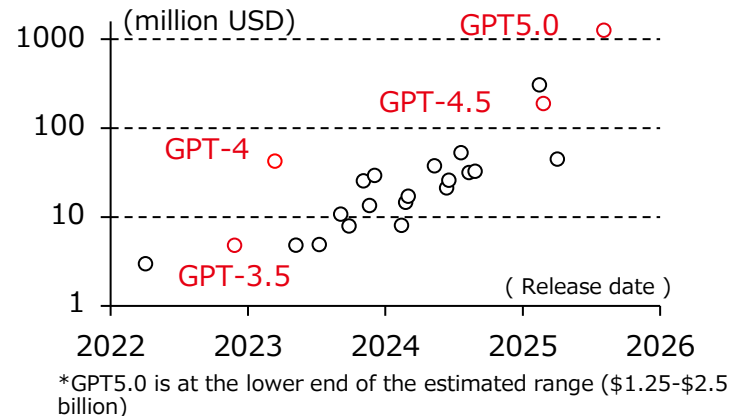
89%

Capital expenditures by US tech giants*



*Alphabet, Amazon, Apple, Broadcom, NVIDIA, Tesla, Microsoft, Meta

Generative AI development costs: increasing exponentially



*GPT5.0 is at the lower end of the estimated range (\$1.25-\$2.5 billion)

▽ Trends surrounding fundraising for AI-related investments

Insufficient cash flow for investment

Large corporate bond issuance

Special Purpose Vehicle (SPV)
Off-balance sheet

Issuance of ABS securities backed by AI-
related assets

Outlook: While the economic support effect of AI-related investments will continue for the time being, investors' outlook will become even more critical.

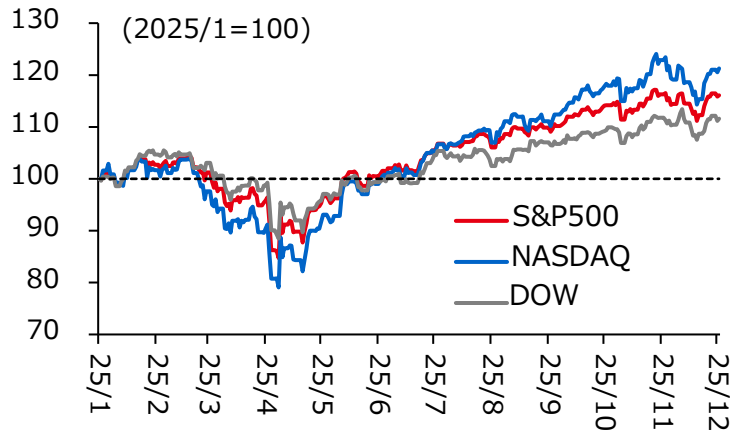
- AI-related investment will continue steadily, based on the investment plans of major companies, without being significantly affected by short-term fluctuations in the labor market or trade environment.
- On the other hand, as companies shift the funding sources for their AI-related investments from operating cash flow to instruments such as corporate bonds, Investors will be more critical of the prospects for profitability in AI-related business.

AI Economy and the US Stock Market

AI-related stocks will have a major impact on the future of the US stock market

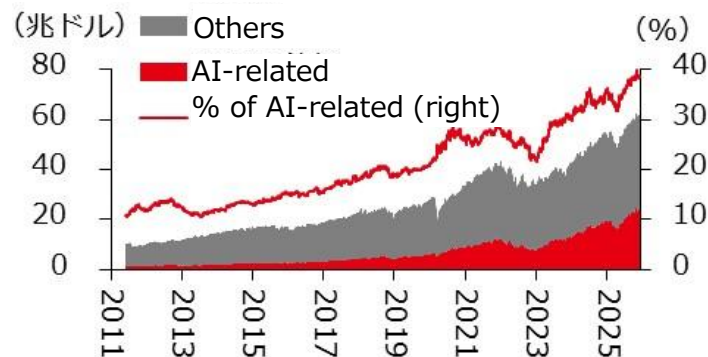
▽ Major stock indexes (US)

Tech-centric Nasdaq outperforms



▽ S&P 500 market capitalization

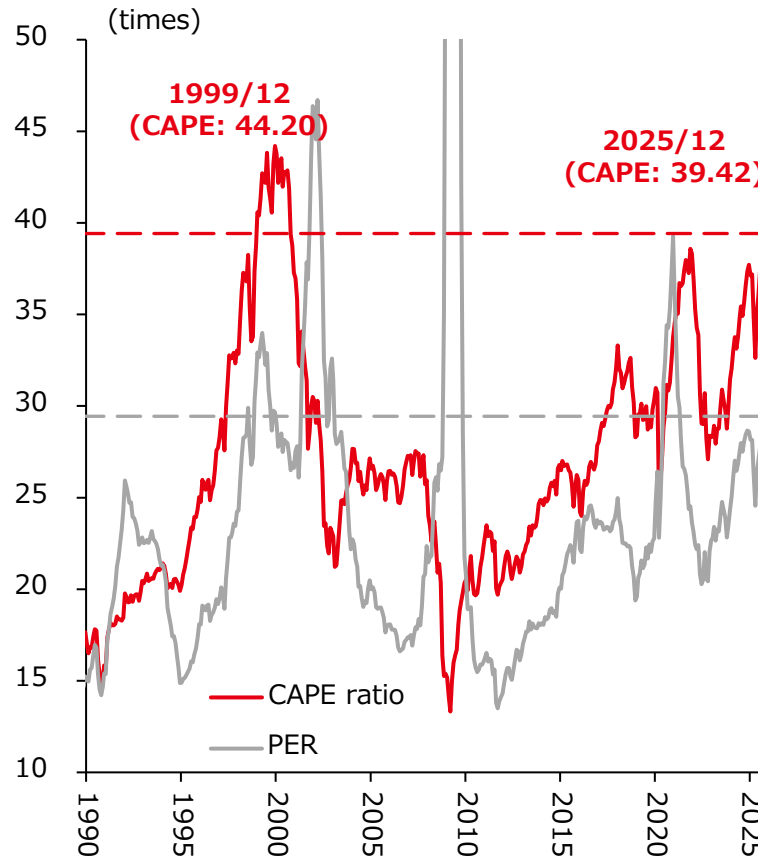
Major AI- related stocks account for approximately 40 % of the market capitalization



*Total for the 13 companies in the table on the right.
(Source) LSEG

▽ S&P 500 : CAPE ratio*)

Adjusted price-to-earnings ratios approach those of the dot-com bubble



*An index calculated by dividing stock prices by 10 -year average earnings and adjusting for inflation using the Consumer Price Index. It evaluates whether stock prices are overvalued or undervalued in the long term by removing the effects of short-term earnings fluctuations and economic cycles.
(Source) Shiller Data

▽ Performance of major AI- related stocks

Some stocks are pricing in significant future growth expectations

(2025/12/1)	Market capitalization (trillion dollars)	PER (times)
NVIDIA	4.4	44.9
Apple	4.2	38.5
Alphabet	3.8	31.1
Microsoft	3.6	34.9
Amazon	2.5	33.1
Broadcom	1.8	97.8
Meta	1.6	22.3
Oracle	0.6	46.5
Palantir	0.4	399.2
AMD	0.4	112.3
IBM	0.3	37.4
Salesforce	0.2	34.1
Adobe	0.1	20.1
total	24.0	—

0~30 times	30 to 40 times	40 to 80 times	80 times or more
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(Source) LSEG

Energy Market and AI

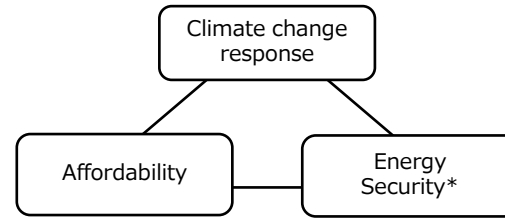
AI will increase energy demand while its impact will be uneven across regions

▽ Policy issues surrounding energy and their current situation

1. Energy transition

Faced with the trilemma of responding to climate change, energy security, and providing affordable energy, many countries are facing the difficulty of energy transition. COP30, even when the latest NDCs were compiled, the decline was only within the range of 2.3 to 2.5 degrees Celsius, once again highlighting the difficulty of achieving the 1.5 degree Celsius target.

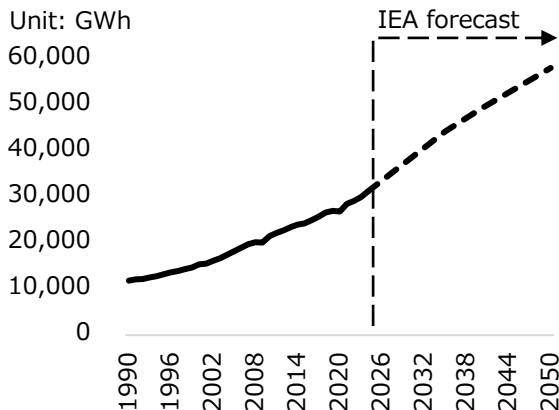
*Includes economic security (such as issues related to critical minerals) and power security (strengthening of power infrastructure).



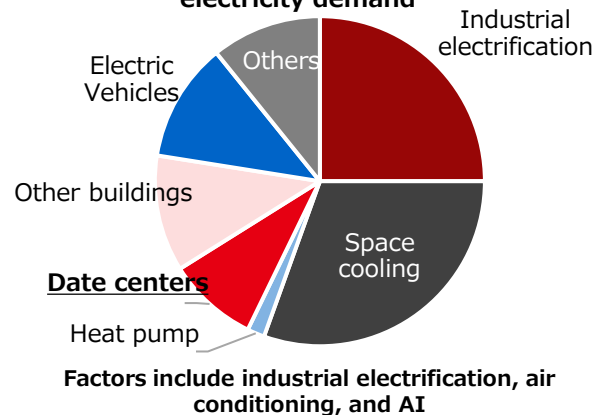
In addition to the energy transition, addressing energy additions is becoming an important issue

2. Energy Addition

Power generation forecast



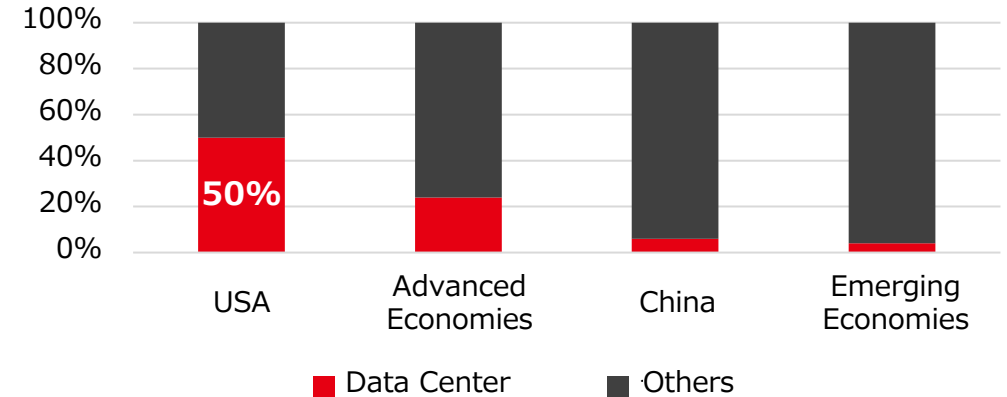
Background to the increase in global electricity demand



(Source) IEA

▽ Regional unevenness in increased electricity demand due to AI

Percentage of data centers in the future increase in electricity demand (2024-2030)



▽ Energy reduction effect through the use of AI

